April 2, 2026

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Last month, the White House signed an executive order establishing a Task Force to Eliminate Fraud, chaired by the Vice President and spanning 12 federal agencies. The order specifically names "non-governmental organizations" among the entities subject to audit, suspension, termination, and debarment.

This is the latest in a long pattern of misconceptions about how nonprofits operate. It goes all the way back to the overhead myth—the idea that a nonprofit investing in staff, infrastructure, and technology is somehow being wasteful. Our sector has always faced misunderstandings about what we do and what we need to deliver on our missions.

Of course, we all support efforts to fight actual fraud. But this order is more complicated than its name suggests. I urge you to read it carefully, talk to your lawyers, and understand your exposure.

And keep doing what you do best: telling your story transparently, building strong donor relationships, and making your impact clear.



Aleda Gagarin
Vice President of Influence, Candid

Debunking the overhead myth

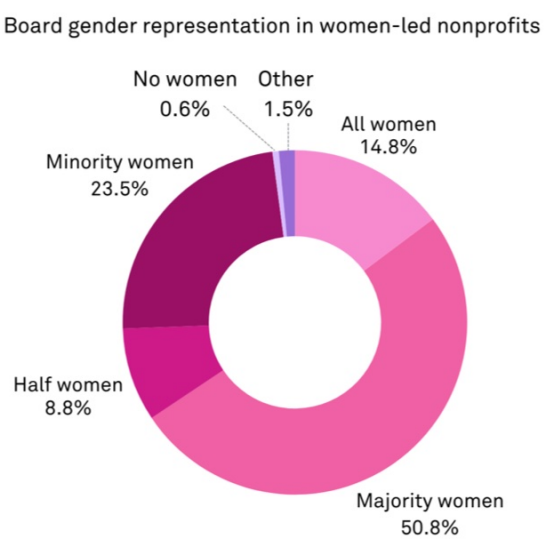
Every business pays for overhead, like salaries, rent, and technology, but this doesn't solely determine whether they are seen as successful. So why are nonprofits judged differently?

The overhead myth states that organizations that spend less on overhead are more effective. But this thinking puts nonprofits at a disadvantage. Learn why this is harmful and how you can help correct it by being transparent about your finances and impact.

Fight back

Featured data: What we know about U.S. nonprofits led by women

Demographic data shows that women-led nonprofits have more women on their boards, with 51% having majority women boards and 15% having all-women boards. This pattern is the same for men, suggesting that a nonprofit leader's gender identity often correlates to the gender majority on the board.



Dive into data

More from Candid insights

4 steps to a strong grant proposal

Applying for grants is time-consuming and competitive, so you need to make sure your application stands out. This means going beyond just meeting the basic requirements and explaining how your proposal fits in the broader nonprofit landscape.

Find out how

Are women leaders making progress in the sector?

Despite women leading more nonprofits, narrowing the pay gap, and forging new partnerships, women-led nonprofits and those focused on women and girls continue to face gaps in funding. Explore how women are positively changing the sector despite lack of funding and overcoming challenges.

Learn more

Building strong donor relationships

In tough economic times, retaining your donors is the best bet for long-term, sustainable fundraising. Boost donor loyalty, especially among younger generations, with personalized, consistent engagement focused on authenticity and transparency.

Engage donors